

Terminologies

Section 1: Foundational concepts

- * **Business Analytics** - process of using data to make better decisions. Main focus here is turning data into useful insights. Data will help improve performance.
eg: retail store looking at sales data to decide which products to stock up
- * **Data Analytics** - process of collecting, cleaning + analyzing data to find patterns + useful information.
eg: ~~an~~ an analyst here would use excel to analyze customer purchase data
- * **Business Intelligence** - tools + systems used to create reports and dashboards which would show business performance.
eg: using a Power BI or ~~Tableau~~ Tableau dashboard to track daily sales
- * **Data-Driven Decision making**: this means making decisions based on data rather than guesswork.
eg: use data ~~to~~ from the past to decide on how to promote ~~the~~ products
- * **Big Data**: very large + complex datasets which are hard to process using traditional methods.
eg: Social media platforms collect large amounts of user activity data every day

* **Descriptive Analytics**: explains what has already happened using past data.

eq: looking at how much Cotton On has sold last month

* **Diagnostic Analytics**: explains why something has happened

eq: sales dropped because fewer customers visited the store

* **Predictive Analytics**: uses data to forecast what is likely to happen in the future

eq: companies predicting that during december they'll be an increase in sales

* **Prescriptive Analytics**: actions to take based on the data insights

eq: increasing marketing spend to boost sales

* **Data literacy**: ability to read, understand and use data properly

eq: a manager understands a chart showing declining sales trends

Section 2 : Data, measurement + reporting

* **Structured data** - organised data stored in rows + columns

eg: information stored in a database table

* **Unstructured data** - not organized in a fixed format

eg: customer reviews or images

* **Data warehouse** - central system used to store large amounts of data for analysis

* **Data mining** - process of finding patterns and relationships in data

eg: customers who buy bread also bought or tend to buy milk

* **Data visualization** - use of charts + graphs to present data

eg: line graph showing monthly sales trends

* **Dashboard** - visual display of key data in real time

eg: the showing of revenue + sales performance

* **Metric** - any measurable values used to track performance

eg: number of website visitors

* **Key performance indicators** - is a specific metric that's important for measuring success

eg: Monthly revenue target.

* **Benchmark** - a standard used to compare performance
eg: companies comparing sales to industry averages

* **Segmentation** - dividing customers into groups based on characteristics
eg: grouping based on age, location or even gender

Section 3 - Customer + Sales KPIs

- * **Conversion Rate** - % of users who take a desired action
- * **Customer Acquisition Cost** - the cost of getting one new customer
- * **Customer Lifetime Value** - total value a customer brings over time
- * **Churn Rate** - % of customers who stop using a service
- * **Customer Retention Rate** - % of customers who stay
- * **Net promoter Score** - a measure of customer loyalty based on recommendations
eq: the likelihood a customer would recommend a brand
- * **Average Order value** - average amount spent per transaction
- * **Sales Funnel** - the journey a customer takes from awareness to purchase
eq: Ad $\rightarrow$ website $\rightarrow$ cart $\rightarrow$ purchase
- * **Marketing Attribution** - seeing which channels led to a sale
eq: most sales came from Facebook ads.

Section 4: Marketing + Campaign Analytics

- * **Marketing Campaign** - a set of activities to promote a product
- * **Post Campaign Analysis** - Evaluating the results after a campaign
eq: seeing how many sales were generated
- * **Incremental Revenue** - extra revenue generated from a campaign
eq: sales went up by £10 000 because of a campaign
- * **Return on investment** - measures profit compared to cost
eq: spent £10 000 → Earned £40 000
- * **Return on Ad spend** - revenue earned for every rand spent on ads
- * **Click-through rate** - % of users who clicked on ads or on a ad.
eq: 50 clicks out of 1000 views = 5%
- * **Bounce Rate** - % of visitors who leave quickly
eq: visitors who leave a website without interacting
- * **AB testing** - comparing two versions to see which one performs better
eq: testing two ad designs
- * **Lead generation** - process of attracting potential clients / customers